

development.¹

On the flip side, I know an extremely high-profile technology company that has a reputation for having an innovative culture, yet its track record of producing new products is disappointing. The company boasts an internal reward system that is based on large financial and status awards to teams that do something extraordinary, but those awards are handed out by senior management on the basis of—no one knows what. There are no objective criteria by which a team can gauge whether it will win this coveted lottery. Teams have little confidence that they will receive any long-term ownership of their innovations. Thus, teams rarely are motivated to take real risks, instead focusing their energies on projects that are expected to win the approval of senior management.

CREATING A PLATFORM FOR EXPERIMENTATION

Next, it is important to focus on establishing the ground rules under which autonomous startup teams operate: how to protect the parent organization, how to hold entrepreneurial managers accountable, and how to reintegrate an innovation back into the parent organization if it is successful. Recall the “island of freedom” that enabled the SnapTax team—in [Chapter 2](#)—to successfully create a startup within Intuit. That’s what a platform for experimentation can do.

Protecting the Parent Organization

Conventionally, advice about internal innovators focuses on protecting the startup from the parent organization. I believe it is necessary to turn this model on its head.

Let me begin by describing a fairly typical meeting from one of my consulting clients, a large company. Senior management had gathered to make decisions about what to include in the next